Capital Plan: Sources and Uses

Property: _____ **Date:** _____

Part A: Before you fall for anything.

Takes in: price, capex bids, reserve target.

Hands to: AS-16, AS-19.

The purchase price is the smallest check you write. This page totals the rest.

1. Sources: where the money comes from

Source	Amount ($)	Terms
Down payment (your cash)		
Lender debt		Rate, term, payment
Seller note		Rate, term, balloon date
Other		
TOTAL SOURCES		

2. Uses: where the money goes

Use	Budget ($)	Due when
Purchase price		At closing
Closing costs		At closing
Diligence costs (inspections, survey, phase 1)		Before EMD goes hard
Immediate capex (first 90 days)		After closing
Reserves		Funded at closing
Working capital		First 6 months
TOTAL USES		

Total uses must equal total sources. If uses are bigger, you are underfunded on day one.

3. First-year cash runway

Cash after closing ($): _____ **Monthly collections ($):** _____ **Monthly costs ($):** _____

Runway (months) = cash left after closing / (monthly costs minus monthly collections). If collections cover costs, your runway is the reserve line above.

Rule of thumb, verify locally: hold at least 6 months of operating costs in reserve after closing.

Running out of cash in year one is a common way first deals fail.

4. Stress tests: run all four before you sign

- [ ] Occupancy drops 10 points for 6 months. The loan payment still gets made.
- [ ] A $25,000 sewer repair lands in month 3. You know exactly which account pays for it.
- [ ] Insurance quotes come back double the seller's number. Re-run the runway with the real number.

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- [ ] The seller note balloons and you cannot refinance. Your day-one plan for that date is written down.

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Worked example: Maple Bend Estates (fictional)

Fictional buyer, fictional close, real arithmetic. Seeds: price $925,000 (the offer rung from AS-07), loan $647,500 (70% LTV, 7.5%, 25 years, annual debt service $57,420), deposits $189,000, normalized expenses $112,530. All derived numbers show their math.

Sources	Amount ($)
Down payment (925,000 x 0.30)	277,500
Lender debt (925,000 x 0.70)	647,500
Cash for costs, capex, reserves (see Uses)	156,015
TOTAL SOURCES	1,081,015

Uses	Amount ($)
Purchase price	925,000
Closing costs, 3% of price (925,000 x 0.03)	27,750
Diligence costs (under the $15,000 sunk cap)	12,000
Immediate capex, first 90 days (fictional)	40,000
Reserves, 6 months of normalized costs (112,530 / 12 x 6)	56,265
Working capital (fictional)	20,000
TOTAL USES	1,081,015

Sources equal uses: $1,081,015 = $1,081,015. Balanced on paper before a dollar moves.

Runway, checked

Total buyer cash: 277,500 + 156,015 = $433,515. Cash after closing: 56,265 + 20,000 = $76,265. Monthly costs: 9,377.50 operating (112,530 / 12) + 4,784.97 debt service = $14,162.47. Monthly collections: 15,750 (189,000 / 12). Collections cover costs by $1,587.53, so the runway is the reserve line: 6 months.

Stress test, checked

Occupancy down 15 points, the same basis as the lender stress in AS-16: revenue 189,000 x 34/41 = $156,732, so collections are 156,732 / 12 = $13,060.98 a month against costs of $14,162.47: short $1,101.49 a month. Cash after closing ($76,265) covers roughly 69 months of that shortfall (76,265 / 1,101.49 = 69.2). The deal absorbs the stress and keeps paying the loan.

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The Doctrine

The belief this page shatters is that the purchase price is the deal. The purchase price is the smallest check you write. The real deal is the total cash the park demands before it pays you a dollar: closing, diligence, first-90-day capex, six months of reserves, working capital. Budget the price and wing the rest, and you run out of cash in year one, the most common way first deals fail. The one rule: sources equal uses on paper before a dollar moves, and the reserve line holds six months of operating costs, rule of thumb, verify locally. The rite of passage is the first time you walk away from a park you love because the capital plan does not fund.

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